# Document 18. Fiscal Policy

**Topic overview.** Fiscal policy is the use of government spending ($G$) and taxation ($T$) to influence AD, redistribute income, and provide public goods. Singapore's framework is constrained by a constitutional balanced-budget rule and an explicit reserves protection regime.

## Section A. Definitions and Tools

| | |
|---|---|
| Fiscal policy | Use of $G$ and $T$ to achieve macroeconomic objectives. |
| Expansionary FP | $G\uparrow$ or $T\downarrow$; AD→$\text{AD}_1$ rightward. |
| Contractionary FP | $G\downarrow$ or $T\uparrow$; AD→$\text{AD}_1$ leftward. |
| Direct tax | Income tax, corporate tax, property tax. |
| Indirect tax | GST, customs duty, excise duty. |
| Transfer payments | Workfare, ComCare, GST Vouchers (not counted in $G$ but affect $C$). |
| Operating expenditure | Day-to-day spending (salaries, supplies). |
| Development expenditure | Long-term assets (infrastructure, R&D). |
| Automatic stabilisers | Endogenous fiscal responses (progressive tax falls in recession; transfers rise). |
| Crowding-out | $G\uparrow$ raises interest rates, displacing private $I$ and $C$. |

## Section B. Question Type 1: Effect of expansionary FP on macro objectives

**Step 1.** Define fiscal policy and identify the instrument ($\uparrow G$ or $\downarrow T$).
**Step 2.** Apply multiplier: $\Delta Y = k\Delta\text{injection}$.
**Step 3.** Show AD→$\text{AD}_1$ on AD-AS.
**Step 4.** Identify the range: Keynesian = $Y\uparrow$ only; classical = $P\uparrow$ only; intermediate = both.
**Step 5.** Comment on side-effects: BOT worsens via $M\uparrow$; potentially inflationary; debt accumulation.

## Section C. Question Type 2: Evaluate FP effectiveness

| **Strengths** | **Limitations** |
|---|---|
| Direct, targeted, large $k$ in closed economies | Time lags (recognition, decision, implementation, impact) |
| Provides automatic stabilisation | Crowding-out (closed economy) |
| Useful at zero lower bound of MP | Debt sustainability |
| Can target specific groups (transfers) | Political feasibility; election cycles |
| Long-run supply-side via development $G$ | Small $k$ in open economies like Singapore |

## Section D. Singapore Fiscal Framework

- **Constitutional balanced-budget rule.** Over each term of government, expenditure $\leq$ revenue + NIRC.

- **Reserves protection.** Past reserves cannot be drawn without Presidential approval (used in 2009 GFC and 2020 COVID).
- **NIRC** contributes >20% of Budget; capped at 50% of expected long-run real returns on net reserves.
- **Revenue mix** (FY2023): NIRC ~22%, Corp Tax ~17%, GST ~16%, Personal Income Tax ~13%.
- **Budget timeline**: announced in February for the financial year starting April.

## Section E. Worked Examples

### Worked Example 1: COVID-19 Singapore fiscal response

**Q.** Evaluate Singapore's S$92 billion COVID-19 fiscal response.

The package (Unity, Resilience, Solidarity, Fortitude, Ministerial Statement) totalled ~20% of GDP — five Budgets in one year. Effective in preventing labour-market scarring (JSS protected ~2 million jobs). *Limitations*: required Presidential approval to draw S$52bn from past reserves; small open-economy $k$ meant some leakage to imports; deadweight in JSS. *Conclusion*: appropriate scale for a one-in-a-century shock; long-run reserves replenishment plan via NIRC contributions is essential.

### Worked Example 2: Should Singapore raise income tax instead of GST?

GST hikes are regressive but stable revenue; income tax hikes affect labour-supply elasticity at the top and risk emigration. The 2022 *Budget compromise* raised both: GST 7→9%, plus new top marginal income tax (24% from YA2024) and wealth taxes (property tax escalator, ABSD on additional residential properties). Net: *progressive overall* when paired with the Assurance Package.